

HOUSE BILL 1628

By Lamberth

AN ACT to amend Tennessee Code Annotated, Title 4,
Chapter 3, Part 22, relative to tourism.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 3, Part 22, is amended by
adding the following as a new section:

4-3-22_.

(a) As used in this part, unless the context otherwise requires:

(1) "Destination marketing organization" means a nonprofit entity or
governmental unit that:

(A) Is responsible for attracting tourists through tourism promotion
or tourism development efforts on behalf of one (1) or more
municipalities;

(B) Operates on a year-round basis; and

(C) Utilizes a dedicated tourism marketing budget supported by a
consistent funding source;

(2) "Tourism" means attracting tourists to visit a particular area for day
and overnight travel and encouraging those tourists to spend money in the area,
which includes travel related to both leisure and business activities;

(3) "Tourism development" means the creation or expansion of physical
attractions, facilities, or events that are available and open to the public, that
improve the appeal of destinations to tourists, and that enhance tourist
experiences that are primarily promoted to or used by tourists;

(4) "Tourism event" means a planned occurrence, festival, exhibition, performance, sporting event, or similar organized activity which is designed and intended to attract tourists and visitors from at least fifty (50) miles away with the intent of generating overnight stay or increased visitation and expenditures that contribute to the local or regional economy through lodging, dining, retail, transportation, and other visitor-related services;

(5) "Tourism promotion" means planning, conducting, or participating in programs of information, publicity, and advertising that are designed to attract tourists and foster economic activity through tourism; and

(6) "Tourist" or "visitor" means an individual who travels more than fifty (50) miles from their primary residence or travels from an out-of-state primary residence to a destination for the infrequent purpose of leisure, entertainment, business, or recreation, and whose spending contributes to this state's tourism economy.

(b) The definitions in subsection (a) may be used, as applicable, in the interpretation and administration of other tourism-related provisions of law under title 7, chapter 4, part 1; title 7, chapter 69; title 7, chapter 88; title 57, chapter 4, part 1; title 67, chapter 4, part 14; and § 67-6-103(a)(3)(F), unless otherwise expressly provided therein.

SECTION 2. Tennessee Code Annotated, Section 4-3-2207, is amended by deleting the section and substituting instead:

(a) As used in this section, unless the context otherwise requires:

(1) "Administrative expenses":

(A) Includes office rent; the rental or purchase of office equipment, including computers, printers, or scanners; the purchase of specialized marketing equipment, including software systems for project

management or web analytics; and other essentials for daily business operations; and

(B) Does not include employee compensation;

(2) "Brand" means the name, term, design, symbol, or other feature that identifies a product or service as differentiated from its competitors;

(3) "Development district" means each of the nine (9) regional districts established by the Development District Act of 1965, compiled in title 13, chapter 14, part 1; and

(4) "Regional tourism organization" means a dedicated entity that promotes, develops, and manages tourism within a specific geographic region.

(b)

(1) The department of tourist development shall annually confirm the regional tourism organizations for each of the nine (9) development districts.

(2) Nonprofit, membership-based organizations or tax-exempt public agencies that market the entirety of a development district may apply to the department to be a regional tourism organization.

(3) The department shall confirm that the regional tourism organization represents the entirety of the development district by receipt of:

(A) A letter from each of the county mayors within the development district, confirming the regional tourism organization represents the county in regional tourism promotion;

(B) A letter from each of the county tourism development or tourism promotion organizations within the development district, confirming the organization's qualifications and means to represent all counties within the development district; or

(C) A membership registry, evidencing each county within the development district being represented by a paid member.

(4) If there arises a dispute regarding which entity is the confirmed regional tourism organization for a development district, the commissioner of tourist development shall make a final determination and notify the organizations of the determination.

(c) Each confirmed regional tourism organization shall operate subject to the supervision and control of the department of tourist development, including, but not limited to:

(1) Providing the department with progress reports on the success of initiatives through key performance indicators, at the request of the department; and

(2) Attending annually two (2) tourism marketing or organizational development conferences and providing written feedback to the department following attendance.

(d)

(1)

(A) State funds must be distributed annually to a confirmed regional tourism organization on the basis of two dollars (\$2.00) in matching state funds for each one dollar (\$1.00) budgeted to the regional tourism organization, subject to a minimum award of thirty-five thousand dollars (\$35,000).

(B) At the end of a state fiscal year, any funds not distributed under this section may be retained by the department of tourist

development and be used to increase the maximum award for the following fiscal year.

(C) These funds may be used for purposes of matching federal funds for tourism promotion programs.

(2)

(A) Prior to the distribution of funds under subdivision (d)(1)(A), the department must approve a regional tourism organization's planned marketing initiatives. The regional tourism organization shall provide to the department documentation regarding its planned marketing initiatives as approved by the regional tourism organization's governing body.

(B) The marketing initiatives must ensure compatibility with the department's brand and must include at least one (1) of the following categories: music, history, family adventure, scenic beauty, or outdoor experiences.

(C) The total funding for marketing initiatives must exceed the regional tourism organization's required match under subdivision (d)(1)(A).

(e)

(1) Funds distributed pursuant to subdivision (d)(1)(A) must be spent on tourism promotion, with a maximum of forty percent (40%) of funds spent on administrative expenses.

(2) Notwithstanding subdivision (e)(1), during the annual application process, a regional tourism organization may request to spend fifty percent (50%) of its funds on administrative expenses, if the regional tourism organization:

(A) Employs at least one (1) full-time position dedicated to tourism activity; and

(B) Verifies that the position is budgeted for the fiscal year without the use of funds distributed pursuant to subdivision (d)(1)(A).

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.